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TECHNOLOGY SOLUTIONS

WHITE PAPER

The Business Cost of Standing Still

Why Cyber Risk Is Now a Board-Level Business Decision — and How to Govern It

A plain-language guide for owners and executives: the five ways a security gap becomes a financial loss — and the questions you should be able to answer before your next insurance renewal, customer questionnaire, or board meeting.

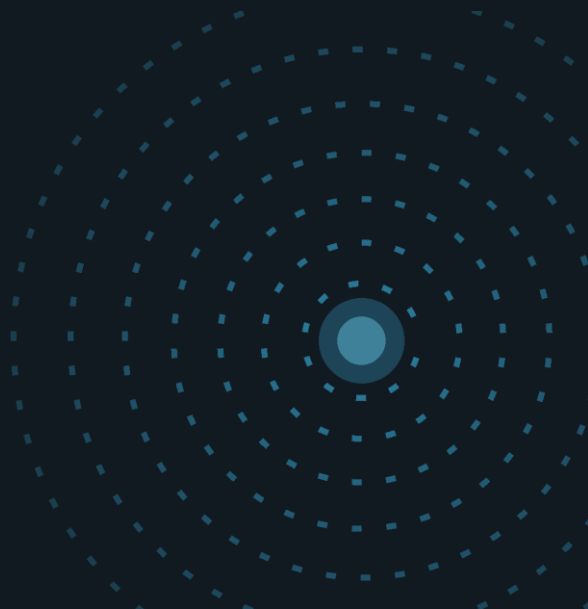
Prepared for

Business Owners, CEOs, and Executive Leadership

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Executive Summary

Cybersecurity has quietly stopped being a technical topic and become a financial one. The question that matters in the boardroom is no longer “Is our antivirus up to date?” It’s “What does a bad day actually cost us, and who is accountable when it happens?”

The numbers have made that shift unavoidable. In 2024, businesses reported **\$16.6 billion** in losses to the FBI’s Internet Crime Complaint Center — a 33% jump in one year — with business email compromise alone accounting for roughly **\$2.8 billion**¹. For an individual company, a single day of downtime now routinely runs into five and six figures once lost revenue, idle payroll, and recovery are added up.²

What changed is not only the size of the losses but the speed and credibility of the attacks behind them. AI now lets adversaries write flawless, personalized fraud at scale. The two oldest weaknesses in business — a person who can be deceived and a system that grants too much access — are now exploited faster and more convincingly than ever.

This paper reframes cybersecurity as what it has become: a continuity, fraud, insurance, and governance decision — not an IT project.

Every section below ends with a question most leaders cannot answer with confidence. Those are the same questions our **Business Risk Assessment** answers — producing a scored picture of your exposure, the estimated business impact of a breach, and a prioritized 12-month roadmap you keep whether or not you ever become a client. By the last page, you’ll know exactly which of those questions you can answer today, and which you can’t.

¹FBI Internet Crime Complaint Center (IC3), 2024 Internet Crime Report (April 2025): \$16.6B total reported losses; business email compromise accounted for roughly \$2.8B across 21,442 complaints.

²Datto Global State of the MSP / SMB downtime research; ITIC 2024 Hourly Cost of Downtime. SMB downtime commonly estimated at roughly \$8,000+ per hour once lost revenue, productivity, and recovery are combined; figures vary by revenue and industry.

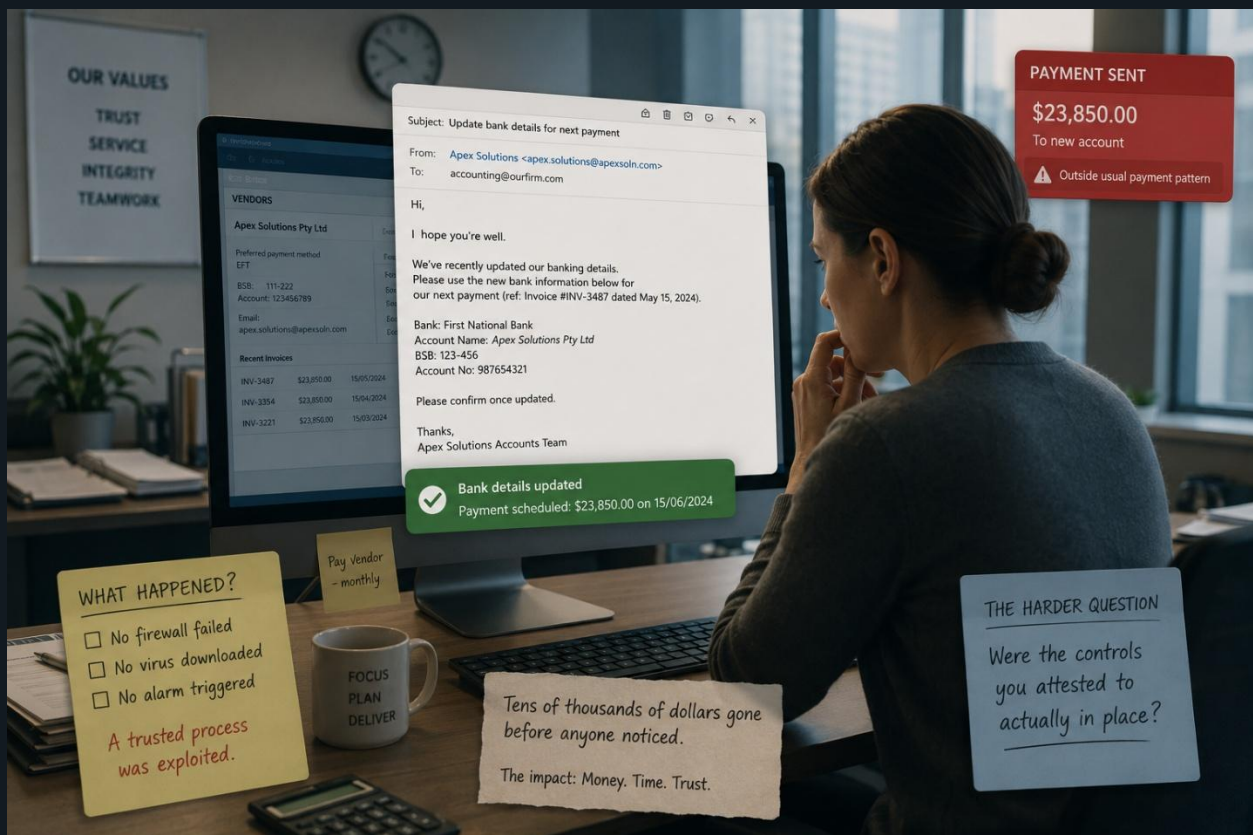
1. It Starts With a Single Email

A story that is becoming ordinary

A 12-person professional-services firm receives an email from a vendor they pay every month. It matches the vendor's tone, references a real recent invoice, and asks to update the bank details for the next payment. Nothing looks off. An employee updates the record and processes the payment. The email was generated by AI using details scraped from public sources and a compromised mailbox. Tens of thousands of dollars are gone before anyone notices. Then the cyber-insurance carrier asks the harder question: were the controls you attested to actually in place?

Illustrative scenario based on common business-email-compromise patterns.

No firewall failed in that story. No virus was downloaded. A trusted business process was turned against the company using tools that didn't exist in their current form two years ago. That's the AI shift from inside a business: not a dramatic breach, but an ordinary Tuesday that quietly costs money, time, and trust. The rest of this paper follows that loss back to its source — in business language.



2. Five Ways a Security Gap Becomes a Business Loss

Owners and executives rarely lie awake thinking about authentication protocols. They worry about the business itself. Every one of those worries maps to one of five exposures — and every one now carries a number.

	The Exposure	What It Means to the Business
1	Business Interruption	Operations stop. Revenue, payroll, and customer commitments keep costing you while systems are down.
2	Financial Fraud	Money leaves the building — a redirected wire, a fake invoice, a payroll-change scam — often unrecoverable.
3	Insurance Denial	The policy you pay for does not pay out, because a control you attested to was not fully in place.
4	Regulatory & Contract Exposure	A failed audit or unmet security clause costs you a contract, triggers penalties, or ends a relationship.
5	Executive Accountability	Leadership — not IT — answers to customers, partners, regulators, and the board for what happened.

These five share a single root cause: **who can access what, and how easily that access can be stolen or abused**. Solve the access problem and you address all five at once.

2.1 Business Interruption — The Meter Runs While You're Down

Downtime bills by the hour whether you're ready or not. Industry research commonly places SMB downtime at **\$8,000 or more per hour** once you add lost revenue, idled payroll, and recovery.³ A ransomware event that takes systems offline for two or three days doesn't cost a flat ransom — it compounds, hour over hour.

What would one day of downtime cost YOUR business?

Most leaders have never calculated this number. Add up:

- Revenue you'd lose in a full day offline
- Payroll you'd pay to idled staff who can't work
- Customer commitments and deadlines you'd miss
- Recovery, overtime, and emergency IT costs

*That figure is your real exposure — and **our assessment helps you put a number on it.***

→ **The Business Risk Assessment answers this:** *Whether your specific downtime exposure has ever been quantified — and whether your backups would actually survive ransomware.*

2.2 Financial Fraud — Money That Simply Leaves

Business email compromise is the quietest, most profitable attack in the economy. In 2024 it drove roughly **\$2.8 billion** in reported U.S. losses — more than ransomware and ordinary phishing combined.⁴ It works because it doesn't look like an attack: a believable email, a routine-looking wire change, a well-timed follow-up. AI has made these messages flawless, and deepfaked voice and video now back them up.

→ **The Business Risk Assessment answers this:** *Whether your finance lead or CEO could be convincingly impersonated today — and what controls would stop a fraudulent payment.*

2.3 Insurance Denial — The Coverage That Doesn't Cover

Many leaders treat cyber insurance as the backstop that makes everything else survivable. Insurers increasingly disagree. They now investigate claims with forensic precision, comparing your real-world controls against exactly what you attested to on your application.

A real, public example

After a 2024 ransomware attack disabled roughly 80% of its network, the City of Hamilton, Ontario submitted a cyber-insurance claim. In 2025 the insurer **denied it in full** — citing MFA that had not been fully deployed across all required systems. The result: roughly \$18.3 million in recovery costs left uninsured.⁵

That's not an isolated case. Industry analyses place denial rates **above 40%**, with incomplete MFA and missing documentation among the leading reasons.⁶ For insurance purposes, an unverifiable control is the same as no control at all.

→ **The Business Risk Assessment answers this:** *Whether your policy would actually survive a claim audit of the controls you attested to — before your next renewal puts it to the test.*

2.4 Regulatory & Contract Exposure — The Deal You Lose Before the Breach

You no longer have to suffer an incident to feel cyber risk. Customers increasingly send security questionnaires before they sign. Regulated sectors — defense, healthcare, financial services, energy,

⁵City of Hamilton, Ontario ransomware incident (2024); insurer denied the claim in 2025 citing incomplete MFA deployment, leaving roughly \$18.3M in recovery costs uninsured. Reported by multiple outlets, 2025.

⁶Industry analyses of 2024–2025 cyber-insurance claims (Coalition, Fitch-cited reporting, and others) place denial rates above 40%, with incomplete MFA and missing documentation among the leading causes.

water — carry obligations an unmanaged environment can't satisfy. A gap here doesn't cost you a ransom; it costs you a contract, a renewal, or the right to bid at all.

→ **The Business Risk Assessment answers this:** *Whether you could pass a customer's security questionnaire or a compliance audit today, without scrambling.*

2.5 Executive Accountability — The Buck Stops With Leadership

When any of the first four exposures materializes, the people who answer for it aren't in the server room. Customers, partners, regulators, and the board look to ownership and the executive team. "I thought IT had it handled" is not a defensible position. "Here is our documented risk posture, the decisions we made, and the evidence behind them" is.

The goal is to move every one of these five from "we hope we're fine" to "we can prove where we stand."

LEADERSHIP ACCOUNTABILITY
The Buck Stops With Leadership

What Leaders Are Asked	What You Must Be Able to Show
Customers	☒ Our documented risk posture
Partners	☒ The decisions we made
Regulators	☒ The evidence behind them
The Board	

WHEN AN EXPOSURE MATERIALIZES

- Reputation is at risk
- Operations are disrupted
- Regulatory scrutiny increases
- Financial impact escalates
- Trust is difficult to rebuild

THE GOAL

Move from...

WE HOPE WE'RE FINE → **WE CAN PROVE WHERE WE STAND**

Document. ✓
Decide. ✓
Defend. ✓
Deliver. ✓

RISK POSTURE
DECISIONS | EVIDENCE

3. Why Businesses Are Addressing This Now

This is not a “someday” problem. Four forces have converged to make the next two quarters the moment most businesses are forced to act — on someone else’s timeline if not their own.

- **Insurance renewals:** carriers now require phishing-resistant MFA, endpoint detection, and tested backups as conditions of coverage, and tighten those terms every cycle. If your renewal is within the next two quarters, the gap is already on the clock.
- **Customer questionnaires:** buyers increasingly demand proof of your security posture before they sign or renew. A weak answer stalls or loses the deal.
- **AI-enabled fraud:** the flawless, personalized attacks described above are no longer rare or expensive to run. The volume aimed at SMBs is rising sharply.
- **Vendor requirements:** prime contractors and partners are pushing security requirements down their supply chains, with hard deadlines attached.

The businesses that modernize ahead of these pressures control their own timeline. Those that wait are forced into rushed, expensive remediation on **an insurer’s, an auditor’s, or an attacker’s schedule.**

→ **The Business Risk Assessment answers this:** *Where you stand against each of these four pressures right now — in time to act before a deadline acts for you.*



4. Six Questions Every Executive Should Answer

The fastest way to gauge your exposure isn't a technical audit — it's a handful of plain questions. Read each one and answer honestly: yes, no, or "I don't know."

Can you answer these today?

1. How many of your users have local administrator rights on their computers?
2. If you terminated an employee today, could they still access a company system tomorrow?
3. Are your backups isolated so that ransomware cannot reach and encrypt them?
4. Could your CEO or finance lead be convincingly impersonated with AI-generated audio or email?
5. Are your Microsoft 365 accounts protected by phishing-resistant MFA — not just a code or push prompt?
6. Would your cyber-insurance policy actually survive a claim audit of the controls you attested to?

If you answered "I don't know" to more than two, your business likely carries meaningful exposure that has never been measured — and that unmeasured gap is exactly what attackers and insurers both look for. *These six questions are the opening of our Business Risk Assessment.*



5. The Two Principles That Contain the Loss

Behind every one of the five exposures sit two architectural principles. Together they decide whether an incident is a contained event or a business-ending one. You don't need to implement them yourself — but you should know what they are and be able to ask whether you have them.

5.1 Remove the Target: Passwordless Authentication

A password is a shared secret a human must remember, that can be stolen without the owner ever knowing, and that grants access from anywhere to anyone who holds it. Complexity rules, rotation, and even traditional MFA prompts are patches on a broken model — and attackers have adapted to all of them.

Passwordless authentication removes the target entirely. You cannot steal a password that doesn't exist. It replaces the shared secret with a cryptographic credential bound to a specific device and confirmed by a fingerprint or hardware key. The private key never leaves the device and is never transmitted — so there's nothing to phish, intercept, or reuse. Built on the FIDO2 and passkey standards, it's phishing-resistant by design and faster for employees. The rare case where the more secure option is also the better experience.

5.2 Contain the Damage: Limited Blast Radius

Strong authentication keeps most attackers out, but sound architecture assumes someone eventually gets in. The decisive question becomes: how much can a single compromised account reach? In a traditional flat environment, the answer is "almost everything" — users accumulate broad, standing permissions over years, so one foothold becomes total exposure.

A limited blast radius means every identity and device starts with the minimum access required, scoped and time-bound rather than permanent. This is the core of a Zero Trust architecture: least-privilege access, just-in-time elevation of admin rights, network segmentation that blocks lateral movement, and conditional access that evaluates every sign-in against device health and risk in real time.

Passwordless keeps the attacker out. A limited blast radius makes sure that if they ever get in, they find a locked room — not the keys to the building.

This matters more in the AI era because AI compresses an attack from days to minutes. When every door is locked by default and every privilege is temporary, the attacker's speed stops being an advantage.

→ The Business Risk Assessment answers this: *Whether an attacker could move laterally across your network after a single compromise — and how phishable your sign-ins still are.*

6. From Tools to Governance: The Imperion Model

Buying security software and being secure are two different things. The market is full of capable tools sitting half-configured because no one had the time or specialized knowledge to operate them. The difference is governance — and that is where Imperion operates.

We are not a break-fix shop and not a reseller of disconnected products. We embed in your business to understand your goals, operations, and obligations, then run security the way a board runs the company: quantified risk, documented decisions, a clear roadmap, and a standing review cadence. Security becomes a position you can defend — to a customer, an auditor, or an insurer.

Area	What We Own and Document
Identity & Access	Phishing-resistant passwordless sign-in, conditional access, and just-in-time privileged access — enforced and monitored, with evidence kept for audits and insurers.
Network Containment	Segmentation and modern firewalling that limit blast radius by default across cloud and on-prem.
Endpoint Management	Fleet-wide patching, hardening, and compliance enforcement on every managed device.
Monitoring & Threat Response	Around-the-clock monitoring and SOC-backed detection and response, so threats are contained — not discovered after the fact.
Service Desk	Responsive support so your people stay productive while the controls stay enforced.
Risk Governance	Quantified risk reporting, a prioritized roadmap, and a fixed executive review cadence that documents every decision.

The result is a single accountable partner across identity, network, endpoints, support, monitoring, and threat response — with the gaps that usually open between point vendors closed by our team and our process, not your staff.

Founded in 2022, Imperion supports businesses throughout Central Illinois with managed IT and cybersecurity — helping organizations reduce cyber risk while meeting their insurance and compliance requirements.

7. What the Business Risk Assessment Reveals

Throughout this paper you've seen the questions most leaders can't answer with confidence. The Business Risk Assessment answers them — and it isn't a one-time scan you walk away from. It's the start of a managed relationship, and it leaves you with a clear, executive-level picture of where you stand.

7.1 What You'll Walk Away With

Five concrete deliverables — each one answering a question this paper has raised:

1

An executive risk scorecard

A single-page scorecard rating your exposure across the six dimensions below — a clear benchmark instead of a vague sense of unease.

2

An insurance-readiness review

Whether your controls would actually survive a claim audit — before your next renewal puts them to the test.

3

Your top financial exposures

The specific gaps most likely to cost you money, ranked by business impact rather than by technical severity.

4

A prioritized 12-month roadmap

Your remediation steps, sequenced in plain language for leadership — not a technical backlog written for IT.

5

The estimated impact of an incident

An estimate of what a breach or a single day of downtime would actually cost your specific business.

You're not buying a scan. You're buying clarity — a number, a benchmark, and a plan.

7.2 The Dimensions We Score

A sample scorecard — illustrative ratings, not a real client:

Dimension	Rating	Example finding
Identity Security	At Risk	MFA present but bypassable; not phishing-resistant.
Endpoint Security	Needs Work	Patching inconsistent across the fleet.
Network Containment	At Risk	Flat network; one foothold reaches everything.
Email & Collaboration	Needs Work	Microsoft 365 sharing left at permissive defaults.
Backup & Recovery	Solid	Backups isolated; restore tested recently.
Incident Readiness	Needs Work	No written or tested response plan.

What the ratings mean

Rating	What it means for your business
At Risk	A gap an attacker or insurer could exploit today. Treat as a near-term priority — this is where a single incident is most likely to turn into a real loss or a denied claim.
Needs Work	Some protection is in place, but it's incomplete, inconsistent, or unverifiable. It would likely slow an attacker but may not hold up under a claim audit or a tough questionnaire.
Solid	Effective, consistently applied, and verifiable. Maintain it — controls drift over time, so "Solid" still needs periodic review to stay that way.
Strong	Best-in-class and fully documented, with evidence ready for insurers and auditors. This is the benchmark the roadmap moves each dimension toward.

Top three priorities, ranked: (1) make MFA phishing-resistant, (2) segment the network, (3) write and test an incident-response plan. We also flag where AI could safely streamline manual work — billing, intake, reporting — once your foundation is sound.

8. Know Your Risk Before Your Next Renewal

You don't have to guess where you stand. The Business Risk Assessment turns uncertainty into a clear, prioritized plan — in plain language, for leadership — and you keep the executive scorecard and roadmap whether or not you ever become a client.

How it works

- **Step 1** — We meet with your leadership to understand your business, systems, goals, and obligations.
- **Step 2** — We deploy lightweight agents to safely scan your environment for real exposure.
- **Step 3** — We score your risk and estimate the business impact of an incident.
- **Step 4** — We deliver your scorecard, top exposures, and a prioritized 12-month roadmap — and walk your team through every decision.

Find out exactly where you stand — before an insurer, an auditor, or an attacker does it for you.

If your insurance renewal, a customer questionnaire, or a vendor requirement is anywhere on your horizon, the time to know your risk is now — not after a deadline forces the answer.

Schedule your Business Risk Assessment

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Imperion Technology Solutions — we govern your IT and cybersecurity risk so you can focus on growing your business.

This white paper is provided for informational purposes and reflects Imperion Technology Solutions' perspective on industry trends. The opening scenario and the sample scorecard are illustrative and do not depict a specific client. Loss, downtime, and insurance figures reflect publicly reported sources cited in the footnotes, including the FBI IC3 2024 Internet Crime Report and industry downtime and cyber-insurance analyses from 2024–2026; figures vary by business size and sector. Microsoft 365 and Entra ID are trademarks of their respective owners.

